

portfolio is slightly lower with a commodities position, you are better off skipping this asset class and keeping your money in stocks and bonds that reward you with real returns.

If You Must Own Commodities

If you insist on owning commodities, then be sensible about how you invest. Buying individual commodities futures contracts is not a good idea. Individual contracts are very risky because of their high degree of leverage. You would need to invest in several different contracts on several different commodities to gain proper diversification. A better alternative is to get commodities exposure through a broadly diversified mutual fund. Another different approach is to invest through an industry-sector mutual fund that holds commodity-producing companies. A few reasonably priced mutual funds are listed in [Table 10-4](#) at the end of this chapter.

Commodities mutual funds invest in derivatives of commodities total return indexes. Therefore, investors in those funds should understand how commodities indexes are constructed. There are several competing commodities total return indexes. Like stock indexes, each commodities index provider has its own methodology for calculating returns and its reasons for believing that its system is superior to everyone else's.

Three popular indexes are the Commodity Research Bureau Index (Reuters-CRB), the S&P GSCI (formally the Goldman Sachs Commodity Index), and the Dow Jones–UBS Commodity Index (DJ-UBS). The most important difference among these three indexes is their approach to weighting the different commodity groups; they include.

- Reuters-CRB is an equal-weighted index of 22 commodity prices. Equal weighting means that a 1 percent rise in the price of nickel has the same effect on the index as a 1 percent rise in the price of crude oil.
- The S&P GSCI considers the price of 24 commodities based on overall market value. Since the total value of oil produced globally dominates the commodities markets, the GSCI methodology generates an excessively heavy energy weighting. In other words, a 1 percent rise in the price of crude oil has a significantly larger effect on the S&P GSCI than a 1 percent rise in the price of nickel.
- The DJ-UBS Commodities Index is derived from the value of 19 commodities. The DJ-UBS is also a market-weighted index, but with a